CONSUMER PRICE INDEX (CPI)

Inflation Analysis | Project Summary 2017–2023

PROJECT OVERVIEW

This project analyzes Consumer Price Index (CPI) inflation trends across different categories and time periods. The analysis focuses on overall inflation trends, food price movements, category-level CPI changes, the impact of COVID-19, and the relationship between fuel price fluctuations and inflation.

KEY FINDINGS

Indicator	Finding
Largest CPI contributor	Food – 51.73%
Highest YoY inflation (Key Findings)	2022 – 6.87%
Lowest/latest YoY inflation	2023 – 3.18%
Highest food MoM inflation	October 2022 – 1.01%
Lowest food MoM inflation	December 2022 – -1.35%
Largest food CPI increase	Spices – +14.2%
Strongest fuel correlation	Transport and Communication – 0.67

Data note: The workbook contains two different 2022 peak YoY inflation figures: 6.87% in the Key Findings section and 6.62% in the Analysis Covered section. Both values are reproduced as shown in the source workbook and should be reconciled against the underlying data before publication.

ANALYSIS SCOPE & CONCLUSION

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KEY OBJECTIVES

01	Analyze the contribution of broader categories to overall CPI.
02	Identify Year-over-Year (YoY) inflation trends.
03	Examine Month-over-Month (MoM) food inflation.
04	Measure changes in food subcategory CPI.
05	Compare pre-COVID and post-COVID inflation.
06	Analyze the relationship between fuel prices and CPI categories.

ANALYSIS COVERED

Area	Summary
Category Contribution	Food contributes 51.73% to the CPI basket.
YoY Inflation Trend	The analysis section reports inflation peaking at 6.62% in 2022.
Food MoM Analysis	Food inflation showed significant monthly fluctuations.
Food CPI Change	Spices increased the most, while Oils & Fats declined significantly.
COVID Impact	Inflation increased across major categories after COVID-19.
Crude Oil Correlation	Transport & Communication had the strongest relationship with fuel prices.

CONCLUSION

The analysis shows that food is the largest contributor to the CPI basket, making food price movements highly important to overall inflation. Inflation reached its peak in 2022 before easing in 2023. Food categories experienced significant price variations, while the post-COVID period showed higher inflation across major categories. Fuel price fluctuations were most strongly associated with Transport and Communication, highlighting the impact of energy costs on inflation.